International Airlines Group

FY2024 · Network airline · reporting currency EUR · peer group: Network airlines

Ratings: awaiting review

Credit tearsheet
11 Nov 2026

SNAPSHOT

International Airlines Group, the owner of British Airways, Iberia, Aer Lingus and Vueling, ended FY2024 with a stronger credit profile, and both Moody's and S&P upgraded the group to investment grade during the year.

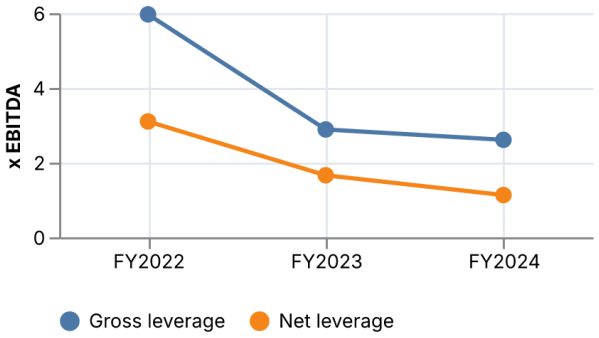
Net leverage fell by **0.53x** to **1.13x** as EBITDA rose by **19.3%** to **EUR 6.6bn** on revenue up **9.0%**.

The point to watch is unit cost: CASK ex-fuel rose by **3.4%** to **5.89 euro cents**, while undrawn committed facilities fell by **22.9%** to **EUR 3.4bn**.

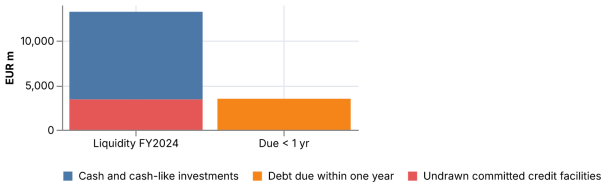
KEY FIGURES

	FY2021	FY2022	FY2023	FY2024
Revenue	EUR 8.5bn	EUR 23.1bn	EUR 29.5bn	EUR 32.1bn
EBITDA	EUR −833m	EUR 3.3bn	EUR 5.6bn	EUR 6.6bn
EBITDA margin	−9.9%	14.5%	18.9%	20.7%
Total debt	EUR 19.6bn	EUR 20.0bn	EUR 16.1bn	EUR 17.3bn
Net debt	EUR 11.7bn	EUR 10.4bn	EUR 9.2bn	EUR 7.5bn
Net leverage	*n.a.*	3.10x	1.66x	1.13x
Gross leverage	*n.a.*	5.97x	2.89x	2.61x
Interest coverage	*n.a.*	4.10x	5.54x	8.70x
FFO to debt	−7.2%	12.0%	26.6%	32.5%
Free cash flow	EUR −885m	EUR 979m	EUR 1.3bn	EUR 3.6bn
FCF to debt	−4.5%	4.9%	8.2%	20.5%
FCF after leases	EUR −1.8bn	EUR 361m	EUR 669m	EUR 2.4bn
Capex intensity	8.8%	16.8%	11.1%	8.8%
Liquidity	EUR 10.9bn	EUR 12.9bn	EUR 11.2bn	EUR 13.2bn
Liquidity to revenue	128.4%	55.9%	38.2%	41.2%
Short-term debt cover	4.30x	4.53x	3.78x	3.81x

LEVERAGE



LIQUIDITY AGAINST MATURITIES



CREDIT METRICS

EBITDA increased by **19.3%** to **EUR 6.6bn**, and operating profit rose by **22.1%** to **EUR 4.3bn** even as depreciation, amortisation and impairment grew by **14.6%** to **EUR 2.4bn**.

Total debt rose by **7.9%** to **EUR 17.3bn**, but net debt was reduced by **18.7%** to **EUR 7.5bn**, taking gross leverage down by **0.28x** to **2.61x**.

Interest coverage improved by **3.16x** to **8.70x** as finance costs fell by **17.6%** to **EUR 917m**.

Cash generation strengthened: FFO rose by **31.9%** to **EUR 5.6bn**, lifting FFO to debt by **5.9 points** to **32.5%**, and free cash flow increased by **169.4%** to **EUR 3.6bn** as capex fell by **14.2%** to **EUR 2.8bn**.

Revenue: As reported in the income statement (IFRS tag ifrs-full:Revenue).

EBITDA: Operating profit + depreciation, amortisation and impairment, excluding the share of associates' results where the company reports it inside operating profit.

EBITDA margin: EBITDA ÷ revenue.

Total debt: Borrowings + lease liabilities, current and non-current.

Net debt: Total debt − cash and cash-like investments. Negative means net cash.

Net leverage: Net debt ÷ EBITDA. Not meaningful (n.m.) when EBITDA is zero or negative.

Gross leverage: Total debt ÷ EBITDA. n.m. when EBITDA is zero or negative.

Interest coverage: EBITDA ÷ interest expense (lease interest included); interest paid where interest expense isn't tagged, or finance costs where interest paid is printed net of interest received. n.m. when EBITDA or interest is zero or negative.

FFO to debt: FFO ÷ total debt.

Free cash flow: Cash from operations − purchases of PP&E and intangibles (cash paid).

FCF to debt: Free cash flow ÷ total debt.

FCF after leases: Cash from operations − net capex − lease principal payments − interest paid where the company shows it in financing cash flows.

Capex intensity: Purchases of PP&E and intangibles ÷ revenue.

Liquidity: Cash + cash-like investments + undrawn committed facilities.

Liquidity to revenue: Liquidity ÷ revenue.

Short-term debt cover: Liquidity ÷ debt due within one year.

OPERATING METRICS

	FY2021	FY2022	FY2023	FY2024
Passengers	*n.a.*	*n.a.*	*n.a.*	122.0m
ASK	*pending*	263.6bn	323.1bn	343.3bn
Load factor	*pending*	*pending*	*pending*	86.5%
RASK (euro cents)	*pending*	8.75	9.12	9.35
CASK (euro cents)	*pending*	8.27	8.03	8.10
Fuel share of costs	15.9%	28.1%	29.1%	27.4%
Advance ticket cover	77.6%	76.2%	113.6%	84.8%

Capacity grew by **6.2%** to **343.3bn** available seat kilometres, carrying **122.0m** passengers.

Unit revenue outpaced unit cost: RASK rose by **2.6%** to **9.35 euro cents**, while CASK was broadly unchanged at **8.10 euro cents**.

CASK ex-fuel rose by **3.4%** to **5.89 euro cents**, and the fuel share of costs fell by **1.7 points** to **27.4%** with fuel cost broadly stable at **EUR 7.6bn**.

The fleet grew by **3.3%** to **601** aircraft, with an average age of **12.4 years**, and reliability issues with Rolls-Royce Trent and Pratt and Whitney GTF engines continued to affect operations.

PEERS: NETWORK AIRLINES, PEER YEAR 2024

	AF-KLM	IAG	Finnair	Median
EBITDA margin	13.1% (3)	**20.7%** (1)	14.6% (2)	14.6%
Net leverage	1.88x (2)	**1.13x** (1)	2.21x (3)	1.88x
Gross leverage	3.56x (2)	**2.61x** (1)	4.20x (3)	3.56x
Interest coverage	6.51x (2)	**8.70x** (1)	4.15x (3)	6.51x
FFO to debt	23.4% (2)	**32.5%** (1)	21.8% (3)	23.4%
FCF to debt	−1.6% (3)	**20.5%** (1)	20.3% (2)	20.3%
Capex intensity	11.9%	**8.8%**	7.7%	8.8%
Cash liquidity to revenue (partial)	22.0% (3)	**30.6%** (1)	29.0% (2)	29.0%
Liquidity to revenue	*pending*	**41.2%** (1)	35.6% (2)	38.4%
Advance ticket cover	59.1% (1)	**84.8%** (3)	74.5% (2)	74.5%
Fuel share of costs	*n.a.*	**27.4%**	30.5%	28.9%
Load factor	*n.a.*	**86.5%** (1)	*pending*	86.5%
Fuel hedge ratio	*n.a.*	*n.a.*	*pending*	n.a.

IAG leads the network airlines on EBITDA margin (**1st of 3**), net leverage (**1st of 3**) and FFO to debt (**1st of 3**).

Interest coverage of **8.70x** is above the peer median of **6.51x**, and cash liquidity to revenue of **30.6%** is the highest of the group (**1st of 3**).

The weakest position is advance ticket cover, at **84.8%** against a peer median of **74.5%** (**3rd of 3**), while capex intensity sits in the middle of the group.

LIQUIDITY AND FUNDING

Liquidity rose by **17.6%** to **EUR 13.2bn**, of which **EUR 3.4bn** in undrawn committed facilities, and liquidity to revenue reached **41.2%**.

Debt due within one year rose by **16.7%** to **EUR 3.5bn**, but short-term debt cover was stable at **3.81x**, so the near-term maturities are covered by liquidity without new funding.

Free cash flow after lease payments rose by **259.2%** to **EUR 2.4bn**, lifting FCF after leases to debt by **9.7 points** to **13.9%**, the comparable measure of cash left for debt holders once lease payments in financing cash flows are taken out.

Customer prepayments remain large, with contract liabilities of **EUR 8.3bn**, up **7.3%**, and the group replaced its secured revolving credit facility with a new sustainability-linked facility during the year.

WATCH ITEMS

- Unit cost: CASK ex-fuel rose by **3.4%** to **5.89 euro cents**, so non-fuel costs are absorbing part of the revenue gain.
- Undrawn facilities: committed undrawn lines fell by **22.9%** to **EUR 3.4bn**, a thinner buffer alongside liquidity of **EUR 13.2bn**.
- Customer prepayments: advance ticket cover of **84.8%** is above the peer median of **74.5%** but the weakest of the group (**3rd of 3**), leaving the cash position sensitive to a slower booking cycle.
- Fleet and operations: the average fleet age rose by **3.3%** to **12.4 years**, and reliability issues with Rolls-Royce Trent and Pratt and Whitney GTF engines continued to affect operations.

ANALYST VIEW

Written by the analyst; never drafted by the AI.

Passengers: Passengers carried (airlines) or handled (airports), scope defined per company.
ASK: Available seat kilometres.
Load factor: RPK ÷ ASK.
RASK: Revenue ÷ ASK.
CASK: (Revenue − operating profit) ÷ ASK.
Fuel share of costs: Fuel cost ÷ (revenue − operating profit).
Advance ticket cover: Advance ticket sales ÷ cash and cash-like investments (how much of the cash is customers' prepayments).
Cash liquidity to revenue (partial): Cash liquidity ÷ revenue, without undrawn facilities.
Fuel hedge ratio: Share of the next twelve months' fuel needs hedged.
pending: a figure read from the report text that has not passed every check, awaiting the analyst's review; never printed as a number.
n.a.: not available for that year.
Sources: FY2022 filing · FY2023 filing · FY2024 filing · FY2025 filing. Peers' filings and every fingerprint: Excel backup, Manifest sheet.
Manifest: 111 source figures from 14 filings and documents (SHA-256 in the Excel backup); commentary drafted by deepseek-flash, prompt draft-v7 + draft-v8 (liquidity_funding, watch_items), fact sheet 9b7da2f3a001; code d31583011aff; exported 2026-11-11 20:58 UTC.

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